

TRANSPORTATION DEVELOPMENT IMPACT FEES

ANNUAL REPORT AND FIVE-YEAR FINDINGS

for

FISCAL YEAR 2011/2012

December, 2012

**SAN BERNARDINO COUNTY
DEPARTMENT OF PUBLIC WORKS**

OVERVIEW
REPORT ON TRANSPORTATION DEVELOPMENT IMPACT FEES
FISCAL YEAR 2011/2012

San Bernardino County conditions and collects development impact fees on development projects within the unincorporated County areas in order to offset the impacts of development on the County's transportation system. California Government Code requires certain disclosures of the financial information related to the collection of those fees. The fees deposits are tracked in the transportation road fund, including the interest earned on the fees, until expended on projects that mitigate the impacts for which the fees were collected are expended solely for the purpose for which the fee was collected. Government Code Section 66006(b) requires each entity collecting development fees to disclose an annual accounting related to those fees.

The code requires that the information contained in this report be available as soon as it has been collected and must be made available within one hundred eighty (180) days of the close of the fiscal year. This requires that the information be made available by December of each fiscal year. Additionally, once the information is available it must be reviewed at the next regularly scheduled public meeting not less than fifteen (15) days after the report is made available to the Public.

The following spreadsheets depict:

1. The balance of the development fee account at the beginning of the fiscal year;
2. The fee income, interest earned, and other income earned during the fiscal year;
3. The balance of the development fee account at the end of the fiscal year;
4. The amount of expenditures of these funds during the fiscal year.

Please note that Section 66001 subdivisions (e) and (f) require that the agency, unless it demonstrates that the administrative costs of refunding would exceed the amount to be refunded, is required to refund the unexpended or uncommitted portion of any fee collected (plus interest) for which need is not demonstrated five or more years after deposit of the fee.

At this time, no refunds have been made per this Section, and sufficient development fees have not been collected, and additional funds are not available, to complete the necessary improvements. It is not anticipated that refunds will occur in the near future. This information will be included in the annual report if refunds occur.

There also have not been any interfund transfers or loans of the fees collected per this Section. The only transfers of funds were for projects constructed, as detailed in the expenditure section of this report.

Section 66006(b) subdivision (1) and (2) provide, in part, as follows:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public.... the beginning and ending balance of the account or fund, the amount of the fees collected and the interest earned, an identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement , including the total percentage of the cost of the public improvement that was funded with fees.... and the amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocations pursuant to subdivision (f) of Section 66001....The local agency shall review the information.... at the next regularly scheduled public meeting not less than 15 days after this information is made available to the public, as required by this subdivision.

The data supporting the information shown on the attached sheet is updated as transactions occur and is available for public review at the San Bernardino County Department of Public Works, 825 East Third Street, Room 206, San Bernardino, CA 92415-0835.

TRANSPORTATION DEVELOPMENT IMPACT FEE PROGRAM
FISCAL YEAR 2011/2012

FEES:

San Bernardino County conditions and collects development impact fees on development projects within the unincorporated County areas in order to offset the impacts of development on the County's transportation system. The amount of fees collected is dependent upon the type of development and the impacts to the County transportation system attributable to the development. A list of the fees collected and expenditures made in FY 2011-12 is included below as part of this report.

BEGINNING BALANCE:

\$ 7,956,157.43

INCREASES TO FUND BALANCE:

FEES COLLECTED: \$10,132.50
INTEREST EARNED: \$36,893.58
TRANSFERS IN (Participation/Reimbursement): \$0.00

DECREASES TO FUND BALANCE:

EXPENDITURES/TRANSFERS OUT: \$1,287,111.27
FY 2012 ENCUMBRANCE BALANCE: \$0.00

ENDING BALANCE:

June 30, 2012

\$ 6,716,072.24

FY 11/12 Development Fees Collected:

High Cube Warehouse development for impacts to surrounding intersections and freeway ramps \$10,132.50

FY 11/12 Expenditures were on projects as listed below:		Total Project	Percentage	Fee Acct
Project Nbr	Project Name	Costs	of Project	Expenditures
			from Fees	(w/ Interest)
H11098	Wabash Ave @ SH 38 Signal	933,952.46	5%	49,054.63
H12177	Etiwanda Ave @ Ontario Mills/Inland Empire Widen/Left Turns	76,207.30	6%	4,652.67
H13024	Cedar Ave @ I-10 Interchange	1,276,044.57	1%	9,414.31
H13195	San Bernardino @ Banana/Almond Continuous Left Turn Lane	90,218.20	36%	32,084.28
H13505, T01069	Arrow Route Rehabilitation	2,323,636.11	1%	28,203.87
H13514	Cherry Ave @ I-10 Interchange	1,396,112.16	17%	237,743.00
H13630	Cherry Ave Roadway Widening, Whittram to Foothill	1,812,728.54	2%	33,659.18
H13938	Beech Ave Roadway Surface Improvement	359,378.84	0%	1,478.86
H14118	San Bernardino @ Cherry Left Turn Lane & Sidewalk	160,211.63	6%	10,039.40
H14120	Commerce Dr Median, Valley to San Bernardino	140,306.49	9%	12,167.78
H14190, H14312, H14212, 108550020, 633100010, 725550030, 725550040	Redlands Donut Hole Improvements (Signal at Lugonia Ave & Indiana Ct, Intersection & Surface Improvements on Alabama St, Restriping, Surface Improvements and Turn Lanes on Alabama, Palmetto, Pioneer, San Bernardino, Almond and Lugonia)	718,863.20	92%	659,379.57
H14279	Citrus Ave @ I-10 Interchange	121,188.11	38%	46,061.79
H14283	Slover Ave Widening/Sidewalk/Signal, Cedar to Larch	598,268.46	13%	80,122.86
H14350	Valley Blvd Median, Linden to Spruce	159,877.70	16%	26,035.44
H14355	Valley Blvd Roadway Surface Improvement, Banana to Catawba	2,206,313.22	1%	29,343.62
H14369	Valley Blvd @ Banana Ave Signal	83,452.05	4%	3,605.16
T01592	San Bernardino Ave Widening, Calabash to Fontana	1,127,230.13	2%	24,064.85
TOTAL		\$13,583,989.17	9%	\$1,287,111.27

FIVE-YEAR FINDINGS

In accordance with Government Code Section 66001, the County of San Bernardino makes the following findings with respect to those portions of the accounts or funds remaining unexpended, whether committed or uncommitted.

All unexpended funds held for five years or more are committed to projects that are a suitable purpose for the use of the developer fee.

A) Identify the purpose to which the fee is to be put

The purpose of the fees collected on development projects is to mitigate the impacts to the affected transportation facilities proportional to the impacts directly created by a particular development project. The impacts are determined by project specific transportation studies and analysis, and the transportation projects to be funded, or portion thereof, are listed within conditions of approval for the projects.

B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

Each development project undergoes a detailed analysis of the transportation impacts as a result of the development. That analysis may include a focused traffic study or might be based upon the studies included in the latest edition of the Institute of Transportation Engineer's trip generation manual for the same type of development. The fees are based upon the results of those studies, and are directly related to the development project and the effects on the transportation system caused by the development.

C) Identify all sources and amounts of funding anticipated to complete financing.

Sources and amounts of funding to complete financing for Plan projects are identified in the table below. Since the development fee mitigates a specific development project, and not all the development anticipated to occur in an area or previously existing development, additional funding sources will need to be identified to complete the projects for which fees have been collected. The anticipated funding will be a combination of additional development mitigation fees, gas tax, Local Measure I and any State or Federal funds that can be applied for or leveraged for projects. The projects will be constructed as funding sources are identified. Until then, the fees remain as a reserved deposit, with interest accruing, and they are necessary to fund a portion of the project.

Sources	Amount of Funding (per Plans)	Notes/Current Amounts Available
Development Fees	\$ 6,716,072	100% of Fees Collected, plus interest accrued to date
State/Federal Funds	TBD	TBD
Measure I	TBD	TBD
Gas Tax	TBD	TBD
City/Other Agency Contributions	TBD	TBD

D) Designate the approximate dates on which the funding referred to in C) above is expected to be deposited into the appropriate account or fund.

Sources	Approximate Date When Funds Will Be Collected/Received/Deposited
Development Fees	Fund balances currently available as designated above and in the Annual Report. Deposit of additional fees for additional development, date unknown (based on 100% fee collection at full build-out)
State/Federal Funds	Unknown - based on State/Federal budget, plus availability/successful grant awards & availability of grant matching funds
Measure I	Unknown - funds programmed based on overall system needs
Gas Tax	Unknown - funds programmed based on overall system needs
City/Other Agency Contributions	Unknown - based on whether a city/other agencies has a share in a project and their budgets and fund availability